

4

## SUB-LIMITS

Insurance policies impose sub-limits so that they can control the expenses incurred by the patient. For example, they set limits for the room category or the room rent. This ensures that the insured person does not spend unnecessarily. We will generally go ahead with a policy that has not such sub-limits in their policy.

5

## NO CLAIM BONUS

It is a financial benefit given to us by insurance companies if we do not ask for a claim in any given year. No-claim bonus operates in two ways. They either offer us a higher sum insured at the same premium next year, or they offer the same sum insured at a lower premium. A No-claim bonus is an insurance company's way of rewarding users who make fewer claims. We want the policies that have the highest no-claim bonus.

6

## CO-PAY CLAUSE

Co-pay clause refers to a policy condition according to which the insurance company does not pay 100% of the expenses, instead, it requires the insured to bear a percentage of the expenses. They may have a 10% or 20% co-pay clause, which will require us to pay the same percentage of the entire claim. So, if we claim Rs. 10 lac with a 20% co-pay, we will only be reimbursed with Rs. 8 lac. The Co-pay clause is the insurance company's way that forces us to spend wisely. We will avoid insurance policies that have a co-pay clause.

7

## RIDERS

Riders are add-ons to the basic insurance policy which offer additional benefits or risk protection for an additional premium payment. For instance, health insurance policies come with accident cover riders combined. So, if we pay the additional amount specified, we will be covered for these additional risks to the extent mentioned.